



United States
Attorney's Office
Eastern District of New York



Owner of Long Island Ambulette Services Pleads Guilty to Leading Multimillion Dollar Healthcare Fraud Scheme

Wednesday, June 11, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of
New York

Defendant and Co-Conspirators Stole Approximately \$20 Million from Medicaid by Falsely Billing for Ambulette Services to Medical Appointments

Earlier today, in federal court in Central Islip, Adnan Arshad, also known as "Eddie," pleaded guilty to conspiracy to commit healthcare fraud and conspiracy to commit money laundering in connection with a scheme to steal approximately \$20 million from Medicaid. The proceeding was held before United States Magistrate Judge Anne Y. Shields. When sentenced, Arshad faces up to 20 years' imprisonment, restitution of at least \$16 million, and forfeiture of over \$19 million, including several real properties and vehicles.

Joseph Nocella, Jr., United States Attorney for the Eastern District of New York; Naomi Gruchacz, Special Agent in Charge, U.S. Department of Health and Human Services, Office of Inspector General (HHS-OIG); Harry T. Chavis, Jr., Special Agent in Charge, Internal Revenue Service Criminal Investigation, New York, (IRS-CI); and Raymond A. Tierney, Suffolk County District Attorney, announced the guilty plea.

"The defendant was the leader of a massive fraud scheme in which he and his co-conspirators bilked Medicaid out of millions of dollars of government and taxpayer funds intended to help the needy and infirm," stated United States Attorney Nocella. "With his guilty plea today, the defendant admitted that he abused our health care system for his own enrichment. Arshad lived large on his illicit profits—buying expensive homes and driving luxury vehicles—but today's guilty plea demonstrates there is a steep price for his fraudulent scheme."

Mr. Nocella also thanked the Office of the New York State Comptroller and the Medicaid Fraud Control Unit of the New York State Attorney General's Office for their assistance in the case.

"For self-serving purposes, the defendant in this case egregiously diverted crucial Medicaid funds," stated HHS-OIG Special Agent in Charge Gruchacz. "HHS-OIG will continue to work with our law enforcement partners to ensure the integrity of federally funded health care programs which relies, in part, on providers billing only for services they actually provide."

"While Mr. Arshad should have been transporting medical patients as designed, the only people he took for a ride were the American taxpayers. Nearly \$20 million was misappropriated by Mr. Arshad and his partners, who used his ambulette service as a backdrop for fraud and deceit - exploiting the Medicaid program and pocketing the illicit gains. With today's plea, Mr. Arshad will need to give up his life of extravagance funded by tax dollars to face prison time, which is far less luxurious," stated IRS-CI New York Special Agent in Charge Chavis."

"Today's conviction represents a significant step forward in our ongoing efforts to protect taxpayer-funded healthcare programs from fraudulent schemes," stated District Attorney Tierney. "Healthcare fraud not only diverts critical resources from those who need them most, but it also undermines public trust in these essential programs. My office will continue to work with our state and federal partners to investigate and prosecute those who would defraud Medicaid and other public healthcare systems."

As set forth in court filings and facts presented during the plea hearing, Arshad was the owner of MTK Taxi LLC in Montauk, Long Island, and part owner of All-Star Taxi LLC, in Ronkonkoma, Long Island. From approximately December 2020 to his arrest in June 2024, Arshad and his co-conspirators paid illegal health care kickbacks to Medicaid beneficiaries for fraudulent ambulette services. Pursuant to the scheme, the beneficiaries would order medical transportation services specifically from Arshad and his co-conspirators, including for transportation to addiction treatment centers for the beneficiaries' purportedly necessary methadone treatment. In reality, Arshad's businesses generally did not provide the medical transportation services ordered by the Medicaid beneficiaries. At least two claims were submitted to Medicaid for individuals who were deceased, and some claims were submitted for individuals who were hospitalized or incarcerated. In total, Arshad and his co-conspirators fraudulently billed Medicaid millions of dollars for these non-existent services throughout the course of the scheme.

Arshad and his co-conspirators also submitted artificially inflated claims to Medicaid. Although there were numerous addiction treatment centers on Long Island the beneficiaries could have utilized, Arshad and his co-conspirators instructed them to order rides to addiction treatment centers in New York City and to list false addresses so they could obtain higher reimbursement rates from Medicaid for longer rides. The transportation companies owned or operated by Arshad and his co-conspirators billed Medicaid over \$16 million for trips to three addiction treatment centers in New York City.

Arshad used the illicit proceeds to purchase several additional transport vehicles for use in the scheme and to purchase multimillion-dollar homes and luxury vehicles, including a Ferrari, BMWs, and multiple Mercedes.

Five co-conspirators previously pleaded guilty to their participation in the scheme and are awaiting sentencing.

The government’s case is being prosecuted by the Criminal Section of the Office’s Long Island Division. Assistant United States Attorney Adam Toporovsky and Special Assistant United States Attorney Jennifer Milito of the Suffolk County District Attorney’s Office are in charge of the prosecution, with the assistance of Paralegal Specialist Janelle Robinson. Assistant United States Attorney Tanisha Payne of the Office’s Asset Recovery Section is handling forfeiture matters.

The Defendant:

ADNAN ARSHAD (also known as “Eddie”)
Age: 46
Mount Sinai, New York

E.D.N.Y. Docket No. 24-CR-231 (JMA)

Contact

John Marzulli
Denise Taylor
United States Attorney’s Office
(718) 254-6323

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